equal-weight allocation. The reason for this underperformance is not a critique of the model, which is clearly an incredible intellectual achievement, but has everything to do with the practical realities of accurately estimating a covariance matrix. We will come back to this issue later in the chapter and in the next, when we explore asset allocation in more detail.

The point, however, is that academic insights and good models don't necessary translate into good practical ideas. This insight is helpful for a do-it-yourself investor, because it implies that we don't need a PhD in finance to implement a reasonable asset-allocation strategy.

Why Does This Strategy Need to Be Complex?

Is the complexity a front for the manager, or does the complexity of the strategy drive the alpha? There is seldom a connection between a strategy's complexity and its effectiveness. If you are having trouble understanding why the complexity exists, it may be intentional on the part of the manager. If the manager cannot justify the complexity relative to a simpler model than the complexity is not necessary.

How Robust Is the System?

Complexity is often correlated with data fitting, for example, when managers identify a very specific allocation scheme that has worked in a small sample. If the complex system is slightly changed, do results completely dry up? If they do, then the system is not robust. Reversion to the mean, and mediocre performance, or much worse, is in your future.

Can You Explain the Strategy to Stakeholders?

Clarity and simplicity help facilitate communication and education, which breeds trust and confidence. Outsourcing investment activity to managers with highly complex, expensive, and opaque investment strategies does not facilitate clear communication. And while it might not matter if the portfolio is making money, what happens when it starts losing? Suddenly, understanding becomes very important, as people start asking difficult questions. Defending a losing investment in a Vanguard index fund is easier than defending a loss in credit default swaps.